Distributor Performance Scoring Methodology

Sales Operations / Distributor Programs

Purpose

This document defines how Spuud evaluates distributor partner performance on a quarterly basis. The output of the methodology is a composite score, a tier classification, and a Q2 recommended action.

Regional Weights

Distributor sales are weighted by region to reflect strategic priority and channel maturity. Weighted Sales = Quarterly Sales x Regional Weight.

Region	Weight
East	0.40
Central	0.35
West	0.25

Composite Score

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Composite Score = (Weighted Sales / 100,000) x 7.5 + (Margin %) x 2.0 + (Sell-Through %) x 0.20
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Margin % and Sell-Through % are entered as percentage-point values. For example, 8.7 represents 8.7%, not 0.087. Composite scores are reported to one decimal place.

Sales values reflect recurring revenue. Where the data file flags one-time non-recurring items, those amounts are excluded from both the numerator and denominator of any sales-based calculation.

Tier Qualification

Distributors are placed into one of three tiers based on Q1 performance.

Premier: Composite Score >= 50.0, Margin >= 8.0%, and Sell-Through >= 70.0%. All three conditions must be met.

Standard: Does not qualify for Premier, but Composite Score >= 38.0 and Margin >= 6.5%.

Watch: All other distributors. Watch placement is also automatic for any distributor whose Q1 margin is less than 6.5% or whose Q1 stock turn (quarter-close snapshot, not period-average) is less than 5.0, since either condition signals operating risk that overrides composite-driven placement.

Top-2 Concentration

Top-2 share is calculated as the combined Q1 sales of the two highest-grossing distributors divided by total Q1 sales across the portfolio. Reported as a percentage to one decimal place.

Q2 Recommended Action

Recommended actions for the upcoming quarter follow the tier classification.

Tier	Q2 Action
Premier	Volume expansion (increase SKU allocation, co-marketing investment)
Standard	Retention focus (maintain existing terms, conduct quarterly business review)
Watch	Remediation (terms review, performance plan, 90-day reassessment)